Steel City Insurance Group

Patricia Nowak, Senior Broker

03/15/2026

RE: Keystone Commercial Builders, Inc. — Transfer Submission

300 Liberty Avenue, Suite 1200, Pittsburgh, PA, 15222

To: Underwriting Department, Hallmark Insurance Group

Dear Underwriting Team,

Account Overview

We are pleased to submit **Keystone Commercial Builders, Inc.** for your review and consideration. The insured is a general contracting for commercial and institutional construction — healthcare facilities, educational buildings, and corporate offices throughout Western Pennsylvania, headquartered in Pittsburgh, with approximately 42 years of operating history. Coverage is requested for Workers' Compensation, General Liability, Commercial Auto, Commercial Property.

Coverage Requested

Workers' Compensation: Workers' Compensation coverage is requested for approximately 425 employees across all operations.

General Liability: General Liability coverage is requested on an occurrence form with $2,000,000.00 per occurrence and $4,000,000.00 aggregate, including standard premises/operations and products/completed operations.

Commercial Auto: Commercial Auto coverage for 15 vehicles including hired and non-owned auto.

Commercial Property: Commercial Property coverage for all scheduled locations on a special form with replacement cost valuation.

Loss History Summary

The claims history warrants review; management has implemented corrective measures to address identified exposures. Over the review period, the insured has incurred **52** total claims with **$1,315,756.27** in total paid losses and **$1,489,697.06** total incurred. Currently, **12** claims remain open and **40** have been closed.

Annualized loss ratio is **18.7%** (avg annual incurred $297,939.41 against current annual premium $1,589,164.70 over 5 loss years).

Breakdown by coverage line:

- **Workers' Compensation:** 35 claims, $1,126,509.19 paid, $1,176,100.41 incurred
- **General Liability:** 8 claims, $105,420.70 paid, $176,946.61 incurred
- **Commercial Auto:** 8 claims, $47,076.38 paid, $99,900.04 incurred
- **Commercial Property:** 1 claim, $36,750.00 paid, $36,750.00 incurred

Note: account experienced a cancellation in **2022-2023** with Zurich Insurance Group. Reason: Carrier non-renewed — book of business exit.

Risk Highlights

- The insured has implemented a formal return-to-work program that has reduced lost-time claims by over 30%.
- The insured maintains a dedicated safety committee that meets monthly and conducts quarterly site audits.
- Management has invested significantly in employee safety training, with all field personnel OSHA-certified.
- The insured maintains a formal business continuity and disaster recovery plan tested annually.
- The organization has achieved ISO 9001 certification, reflecting a commitment to quality and process control.
- The insured carries contractual risk transfer provisions in all subcontractor and vendor agreements.
- Background checks and MVR reviews are conducted annually for all employees in safety-sensitive positions.
- With 425 employees and a structured HR program, the insured maintains low turnover and consistent safety training.
- 42 years of continuous operations under consistent management demonstrates operational stability.

Broker Recommendation

This is a quality account with strong operational controls and we are confident it will perform well in your portfolio.

Please do not hesitate to contact us with any questions or if additional information is required.

Respectfully submitted,

Patricia Nowak
Senior Broker
Steel City Insurance Group